Fundraising as an Organization

Building the Infrastructure Needed to Fund Good Work

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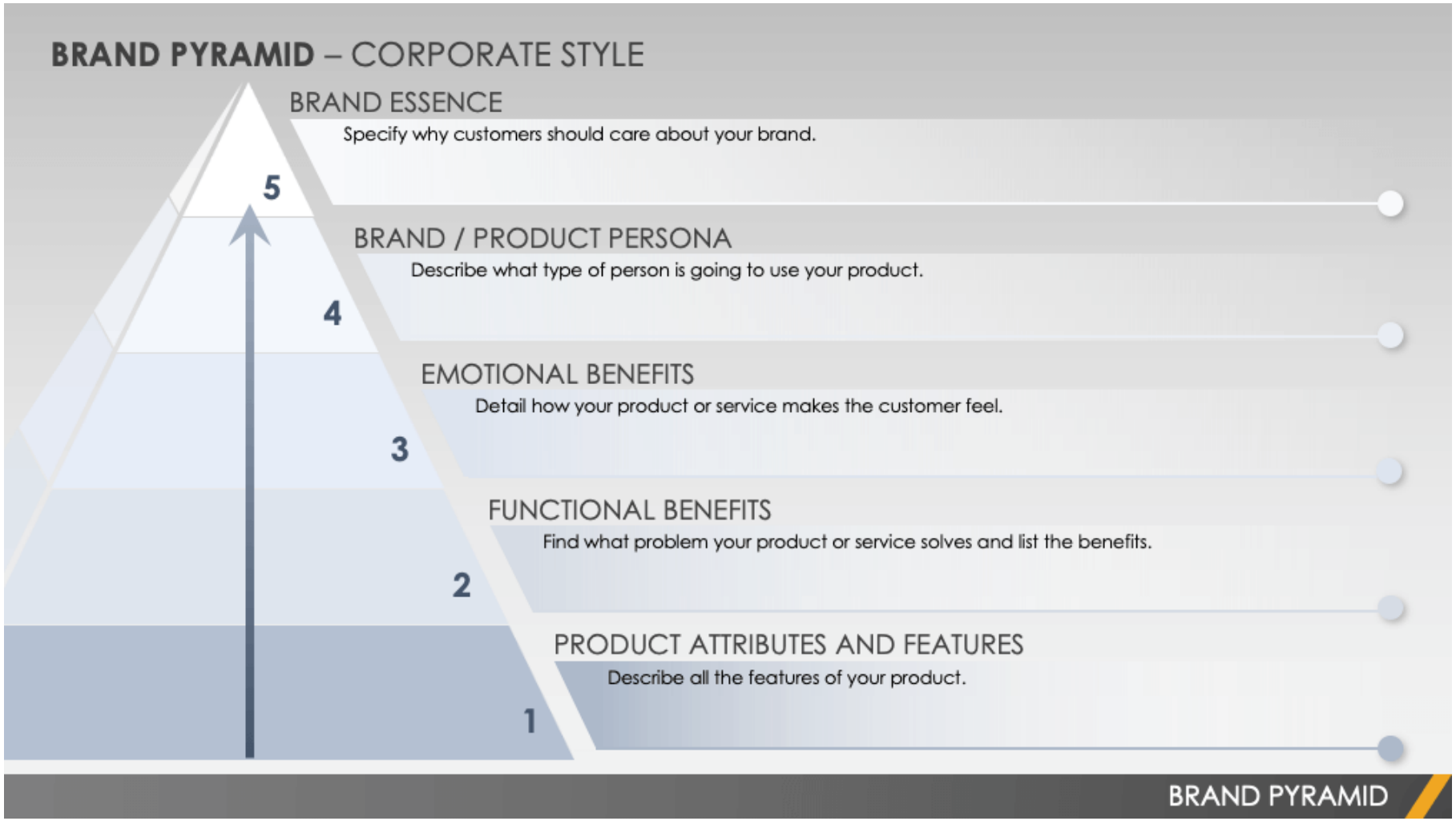
What is Marketing?

- American Marketing Association (2013): "Marketing is the activity and process for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large."
- More simply, marketing is the activities of an organization that are meant to create an exchange between the organization and an outside individual or group
- Two major components to marketing:
  1. Developing the message that needs to be communicated
  2. Delivering the message through some medium
- Marketing serves as a relationship building tool between an organization and the broader public

Marketing and Fundraising

- Marketing and Development/Fundraising generally are within the same department
  - Marketing serves as the storytellers and conduits for a relationship with a brand
  - Fundraisers are relationship builders and personal representatives of the organizations they serve
- Communication skills and technology are essential for both teams
- Marketers can assist fundraisers in shaping messaging, ensuring a consistent brand experience, and telling stories
- Marketers usually have access to a wealth of data outside of the donor database

The Branding Pyramid



A Guide to Branding

- A Brand is a name, term, design, symbol, or any other feature identifying one seller's goods or service as distinct from those of other sellers
- Brand components:
  1. Brand Proposition: A three to five word description of the most compelling idea to convey about the organization's mission
  2. Brand Values: What the brand stands for, the things it holds dear, and principles that define how it behaves.
  3. Brand Personality: The human characteristics that are attributed to and personify the brand.
  4. Brand Drivers: The unique and differentiating benefits of the brand.

Information Gathering to Build Relationships

- Information gathering is the first key component to building a successful marketing plan and fundraising strategy
- Marketing research and the donor database have different objectives and outcomes; however, they can align in information gathering through the following:
  - Identify the Key Audiences
  - Identify key background information
  - Meet the donors where they are
  - Measure communication tactics and approaches
  - Test different approaches and verbiage

Incorporating Market Research

- Quantitative Market Research: Generating a sufficient number of responses on data that can be quantified in order to make generalized statements of fact
- Qualitative Market Research: Identifying subjective factors such as impressions, feelings, and emotions through open ended questioning
- Marketing tends to employ "mixed method" tools to obtain quantitative and qualitative data:
  - Brand Testing: How is the organization perceived?
  - Concept Testing: Will this idea work with donors?
  - Copy Testing: Does this copy communicate accurately and memorably?
  - Donor Satisfaction Studies: What do donors like and dislike?
  - Focus Groups: How do first-time donors evaluate a proposed campaign? How is that different than repeat donors?
  - Interviewing: Is "leaving a legacy" important to our donors?
  - Campaign Planning Studies: How compelling is our case for support?
  - Mall Intercept: What does the "person on the street" think?
  - Mystery Shopping: How easy is it to make a gift to a competitor compared to us?

Strategic Marketing Plan

- The strategic marketing plan sets the general plan for the overall marketing strategy
- This establishes the following:
  - Overall goal of the plan
  - 3-5 specific and measurable objectives to achieve the goal
  - Establish the target audience
  - Establish best strategies to communicate with the target audience
  - Establishes tactics to meet the goals
  - Establishes the roles and responsibilities of personnel
  - Creates a step-by-step work plan
  - Estimates a budget
  - Considers how the goals will be evaluated

Marketing Mix

- The marketing mix lays out the characteristics of the services your organization offers:
- The "5 P's"
  - Product (service)
  - Price
  - Place
  - Promotion
  - Policy

SWOT Analysis

Persona (Demographic) Characteristics

- Personas are fictional (but typical) profiles of donors / customers /recipients
- Each persona represents a segment of your target market
- Each persona is based on the following items:
  - Demographic information: income, gender, age, religion, race/ethnicity, etc
  - Psychographic information: Values (political affiliation and religious affiliation), attitudes, opinions, lifestyle, personality, etc
  - Behaviors: Communication preferences, relationship to the nonprofit, donation history, etc.

Storytelling in Marketing

- Stories help bring the human side to the research and statistics
- It is important to combine both – stories alone will not attract donors
- There are a variety of ways to help humanize an organization:
  - Share personal stories of board members
  - Video volunteers telling their stories and why they are involved with the organization
  - Include photographs that are visually compelling (while treating the recipients of aid with dignity)
  - Highlight the representative nature of the community and the organization with your words and messaging

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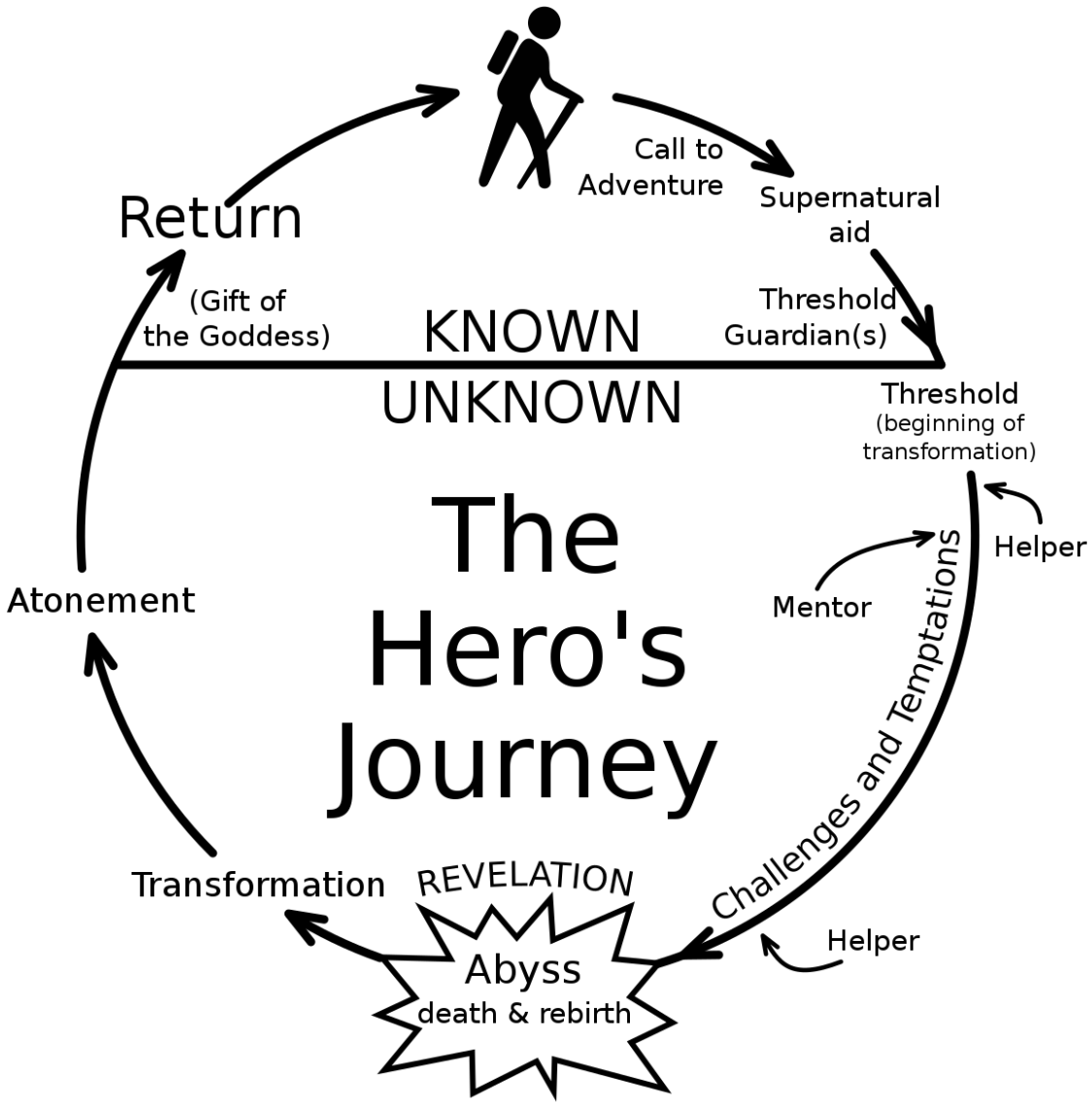
The Narrative Arc of Story



Integrating Story Telling into Donor Appeal

- Appealing to donors is not the same as a story arc; however, there is overlap
- Compelling appeals
  - Emerge from the case for support (call to adventure)
  - Articulate the case for specific audiences (serve the role as helping and mentoring to articulate challenges)
  - Demonstrate effectiveness (show transformation)
  - Strategically deliver (provide the return)

Different Appeals for Different Audiences

- Giving is personal – build off the personal relationship between the donor and organization when crafting appeals
- This is impossible at an individual level, but can be accomplished through *donor segmentation*
  - Example segements include: relationships with the organization, gift frequency, gift level, etc)
- Careful segementation can help maximize return on the cost of producing and sending appeals

Shaping Narratives (Through Research)

- Positive vs Negative Framing
  - Positive framing tends to generate less support than negative framing
  - Negative framing is usually more effective when combined with a rational appeal
  - Positive appeals tend to be most effective combined with emotion
- Signal trustworthiness
- Identifiable victim effect – donors are more likely to respond to the needs of an individual than a group
- Utilize or establish norms and signal social information
- Appeal to emotion
- Incorporate visuals
- Utilize social identities, identification, and other tactics to give donors perspective

Writing the Call to Action

1. Be specific (Donate $20 to feed a family in our community for a week" vs "end hunger!"
2. Be feasible (ask for an action that is realistic for donors)
3. Present a clear priority (allows for donors to know what their money is going towards)
4. Make the giving process easy

Developing Effective Appeals

- Preparation
  - Plan appeal as part of a campaign to deploy communications and development on the same page
  - Segment donor list and craft personalized appeals
  - Select medium for appeal
  - Track and evaluate appeal
- First impression
  - Make sure the first thing a donor sees is appeal
  - Include a compelling hook for recipient's relationship with the organization
- Body
  - Use stories or data to illustrate the extent of the problem and the organizational solution
  - Pay attention to visuals and format
  - Strike a conversational style and tone while creating a sense of urgency
  - Include a clear call to action
- Closing
  - Describe recognition or other psychological or tangible benefits
  - Choose best person to sign

Writing Ethical Appeals

- One of the best ways to educate and motivate donors is to include the voices and perspectives of the recipients of the aid
- Fundraisers must also be mindful of potentially causing harm through the presentation of these voices
- Fundraisers should follow these guidelines:
  - Always ask clients for consent before using their name or image
  - Give the clients a role in telling their story
  - Review the appeal content with a critical eye and an outside perspective

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Digital Management Overview

- Fundraising and marketing can both employ digital and online tools to enhance donor engagement
- Digital tools should not fully replace relationship building and traditional fundraising
- Organizations need to employ a plan and strategy to manage their online presence including: messaging, delivery mechanisms, tools, and strategies
- Successful campaigns result from employing a combination of tools and media to convey a common message
- Age does not translate into digital design skills, an actual organizational policy and strategy needs to be developed

Creating a Content Strategy

- Content strategies can result in a successful engagement between the donors and the organization
- People are more likely to take actions that follow others and providing "social proof"
- Social proof is essential in crowd sourcing and online fundraising campaigns
- Online campaigns need to communicate the impact to donors in a way that will increase confidence in giving

The Basics of Crowdfunding

- Highly successful, organizationally driven crowdfunding efforts are built around "peer-to-peer" strategies or having captains raising a threshold from their networks
- Organizations can increase engagement through the employment of a giving day, such as #GivingTuesday
- Crowdfunding can engage many individual contributors and build awareness among broad audiences
- However, donor long-run engagement and loyalty is often proportional to the motivation for the original gift
- It is unreasonable to expect to retain all crowdfunding supporters

Digital Tools

- Websites – the "front door for future supporters"
  - Websites need to be visually appealing, clean, and user friendly
  - Websites should connect visitors to the most important links about the organization along with its social pages
- Email
  - Should track the following information: number of subscribers, open rate, click-through rates, conversion rates, unsubscribes, spam reports
- Social Media – Newer frontier that can rapidly expand an organization's reach and engagement in specific localities
- Artificial Intelligence and Machine Learning – Still in its infancy, but useful for synthesizing data and generating first drafts of content